Unstablecoins: Tether and USDC

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In early November, Coinbase CEO Brian Armstrong made the claim that the stablecoin it had partnered with - USDC - was on track to become the defacto currency against which crypto transactions would be measured. Given the lack of transparency from USDC's main competitor Tether, Armstrong may be correct in this prediction, however this claim prompts us to consider the current state of stablecoins.

With the recent adoption of USDC by Blackrock and Google, the stablecoin does in fact appear to be on a clear path towards adoption by the mainstream. Last year, Circle, the company which manages USDC, began publishing quarterly audited financial statements which included reserve breakdowns. A look at the breakdown indicated that the company maintained 61% of its reserves in liquid cash or cash equivalents, a reassuring and stabilizing report for the industry.

Transparency like this would have bankrupted Tether years ago, who nearly fell prey to a bank run similar to FTX. As it stands, Tether may be verging on a bank run as they will soon be required for the first time to provide a complete breakdown of their reserves in response to a New York lawsuit. Early last year, news that the company held only 2.9% of its reserves in cash, instead of the 1:1 ratio with USD it had claimed for years, seemed to fly under the radar. It goes without saying but maintaining only 3% of reserves as liquid cash is extremely irresponsible and places Tether in a position highly-susceptible to a bank run. We can easily predict that at some point in the future Tether will collapse in a similar fashion to FTX unless it changes this practice.

On the other hand, Circle CEO Jeremy Allaire announced last year that Circle would become a full-reserve digital asset bank, meaning that USDC is on track to be a fully backed 1:1 at some point in the future, which though admirable is arguably overkill. As readers of my recent op-ed will recall, I am generally pro-regulation and for instituting fractional reserve minimums for crypto providers. However, maintaining fully backed reserves will hamper growth in the industry, as Circle will limit its ability to provide the level of loans and economic stimulation typically expected of banks. This role will instead be forced onto crypto custodians such as MakerDAO, but at a much more limited scale than would otherwise exist with a typical banking system.

Circle should instead maintain a high-level of fractional reserves as it does now, and additionally enroll with audited proof-of-reserves companies, such as Chainlink, that will be able to provide transparent and up-to-date information to the public on the hourly reserve backing of USDC. In this way Circle can have its cake and eat it too.

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